

INSURANCE AND PENSIONS COMMISSION



LIFE REPORT FOR LIFE ASSURERS

FOR THE QUARTER ENDED 31 MARCH 2015

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
Movement/%/Growth	percentage change from the previous period
NOTE:	ALL MONETARY FIGURES ARE IN USD



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2.0 Industry Overview

This report covers 11 direct life insurers and 2 reinsurance companies. The industry wrote \$75million (March 2014:\$68million) in net premium, an 11%growth rate. At \$53million, total costs rose by10% from \$46million reported previously. Life companies reported \$22million in technical profit. Resultantly the industry realised a combined ratio of 70 %(March2014: 73%) reflecting improved expenditure cuts.

For the quarter ended 31 March 2015, total industry assets were \$1.6billion, a 4% growth from \$1,5billion in the same quarter last year. Total liabilities were reportedly in the sum of \$1.3billion resulting in \$329million in free assets (See Table1, below).

Table 1 : Financial Performance Indicators for Life Companies for the quarter ended 31 March2015

Item	Life Assurers			Life Re-assurers			TOTALS		
	March 2014	March 2015	Growth	March 2014	March 2015	Growth	March 2014	March 2015	Growth
Gross Premiums Written (\$000)	67,119	74,470	11%	2,154	2,138	(19%)	69,273	76,608	11%
Net Premiums Written (\$000)	65,866	73,116	11%	1,819	1,863	2%	67,685	74,979	11%
Total Gross Claims (\$000)	28,626	32,807	15%	850	773	(9%)	29,476	33,580	14%
Total Net Claims (\$000)	28,422	32,807	9%	850	773	(9%)	29,272	33,580	15%
Management Expenses (\$000)	12,792	13,942	46%	311	215	(31%)	13,103	14,157	8%
Commissions (\$000)	3,073	4,484	16%	370	409	11%	3,443	4,893	42%
Total Costs(\$000)	44,287	51,233	16%	1,531	1,589	4%	45,818	52,822	15%
Technical Profit	21,579	21,883	1%	288	274	(5%)	21,867	22,157	1%
Expense Ratio (%)	24%	25%	1%	37%	33%	(4%)	24%	25%	1%
Claims Ratio	43%	45%	2%	47%	41%	(6%)	43%	45%	2%
Combined Ratio	67%	70%	3%	84%	85%	1%	68%	70%	2%
Total Assets (\$000)	1,522,932	1,590,543	4%	13,185	13,534	3%	1,536,117	1,604,077	4%
Current Assets	272,193	357,499	31%	4,534	4,801	6%	276,727	362,300	31%
Current Liabilities	148,449	117,811	-21%	1,080	1,787	62%	149,529	119,598	-20%
Total Liabilities (\$000)	1,285,860	1,322,770	3%	6,071	6,675	10%	1,291,931	1,329,445	3%
Free Capital(\$000)	237,072	322,018	36%	7,114	6,859	-4%	244,186	328,877	35%
Liquidity/Current Ratio	183%	33	-150%	420%	269%	151%	185%	303%	118%
Capital to liability Ratio	18%	24%	6%	117%	103	14%	19%	25%	6%
Prescribed Asset Ratio (%)	1%	3%	2%	0%	3%	0	1%	3%	2%

Section A

Life Assurance Companies

3.0 Net Premiums Written

For the period under review, life companies reported \$73million in net written premiums reflecting an 11%growth rate from\$65millionrealized in the comparable quarter last year. This was partly due to the registration of Econet Life Assurance which is micro insurance- oriented (seeTable2, below).

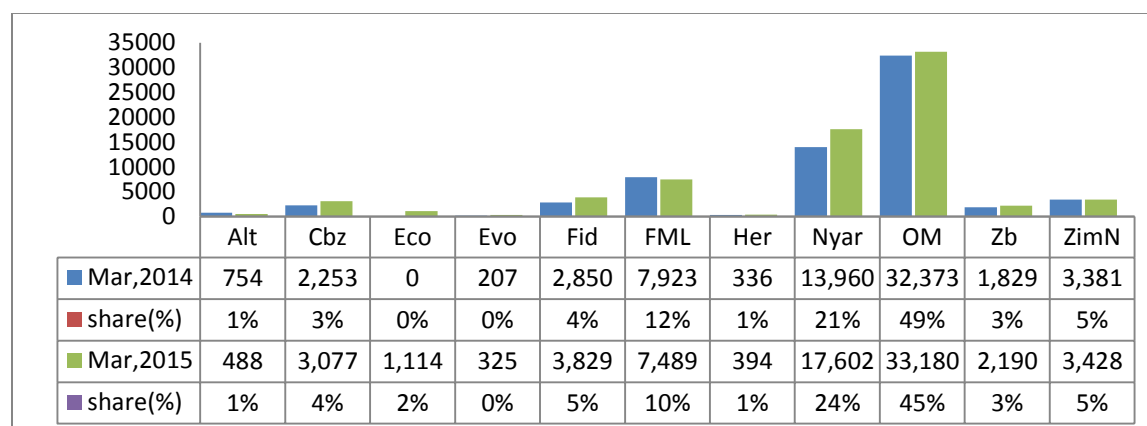
Table 2: Net Written Premium Distribution by Company for the quarter ended 31March2015

Company	NPW (USD 000)		Movement
	Mar 2014	Mar 2015	
Altfin	754	488	-35%
Cbz	2,253	3,077	37%
Econet	0	1,114	0
Evolution	207	325	57%
Fidelity	2,850	3,829	34%
FML	7,923	7,489	-5%
Heritage	336	394	17%
Nyaradzo	13,960	17,602	26%
Old Mutual	32,373	33,180	2%
Zb Life	1,829	2,190	20%
Zimnat	3,381	3,428	1%
TOTAL	65,866	73,116	11%

4.0 Market Share for Life Assurance Companies

For the period under review, 79%or\$58 million of the total net business was attributable to the top three companies (March 2014:82% or \$54million)(SeeTable2 above and Figure 1 below).

Figure1: Market share by company for the Quarter Ended 31 March 2015



5.0 Business Composition

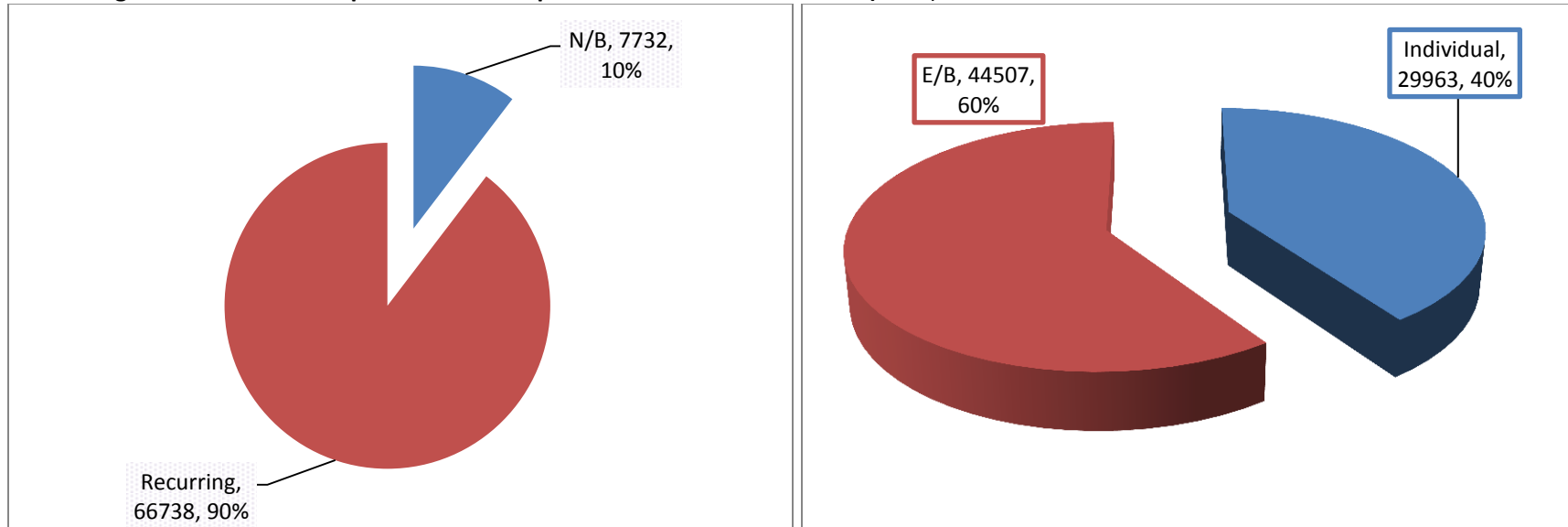
For the period under review, life companies wrote \$74 million in gross premiums (March 2014:\$67million).Of this figure, \$67million or 90%, was reportedly made up of recurring business (March 2014:93%or \$63million) whilst \$8millionor 10 % was new business (March 2014:7% or \$4million).

Employee benefits products contributed 60% or \$45 million of the business (March 2014:70% or \$47million) with the balance being individual lines (see Table 3 and Figure 1 below). This suggests a decline in group business compared to individual clients partly due the increase of the informal sector which are typically proprietor- managed.

Table 3: Business Composition by Company for the quarter ended 31 March 2015

Co. Name	Individual Life (\$000)						Employee Benefits/GLA (\$000)						Total Gross Premiums Written (\$000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Mar-14	Mar-15	Growth(%)	Mar-14	Mar-15	Growth(%)	Mar-14	Mar-15	Growth(%)	Mar-14	Mar-15	Growth(%)	Mar-14	Mar-15	Growth(%)
Altfin	0	388	0	0	0	0	0	0	0	850	159	-81%	850	547	-36%
CBZ Life	215	74	-66%	1,387	1,962	41%	681	719	6%	14	404	2786%	2,297	3,159	38%
Econet	0	1,209	0	0	0	0	0	0	0	0	0	0	0	1,209	0
Evolution	35	52	49%	173	273	58%	0	0	0	0	0	0	208	325	56%
Fidelity	163	2,141	1213%	847	1,812	114%	0	0	0	1,939	0	-100%	2,949	3,953	34%
FML	217	154	-29%	3,306	3,928	19%	1,047	1,304	25%	3,418	2,191	-36%	7,988	7,577	-5%
Heritage	10	22	120%	239	280	17%	0	0	0	106	101	-5%	355	403	14%
Nyaradzo	312	329	5%	9,532	12,069	27%	46	43	-7%	4,071	5,163	27%	13,961	17,604	26%
O. Mutual	139	379	173%	2,444	3,230	32%	1,285	173	-87%	28,771	30,024	4%	32,639	33,806	4%
Zb Life	103	399	287%	617	517	-16%	50	110	120%	1,128	1,259	12%	1,898	2,285	20%
Zimnat	88	174	98%	510	571	12%	76	62	-18%	3,300	2,795	-15%	3,974	3,602	-9%
TOTAL	1,282	5,321	315%	19,055	24,642	29%	3,185	2,411	-24%	43,597	42,096	-3%	67,119	74,470	11%

Figure 2: Business Composition for the quarter ended 31 March 2015 (\$000)

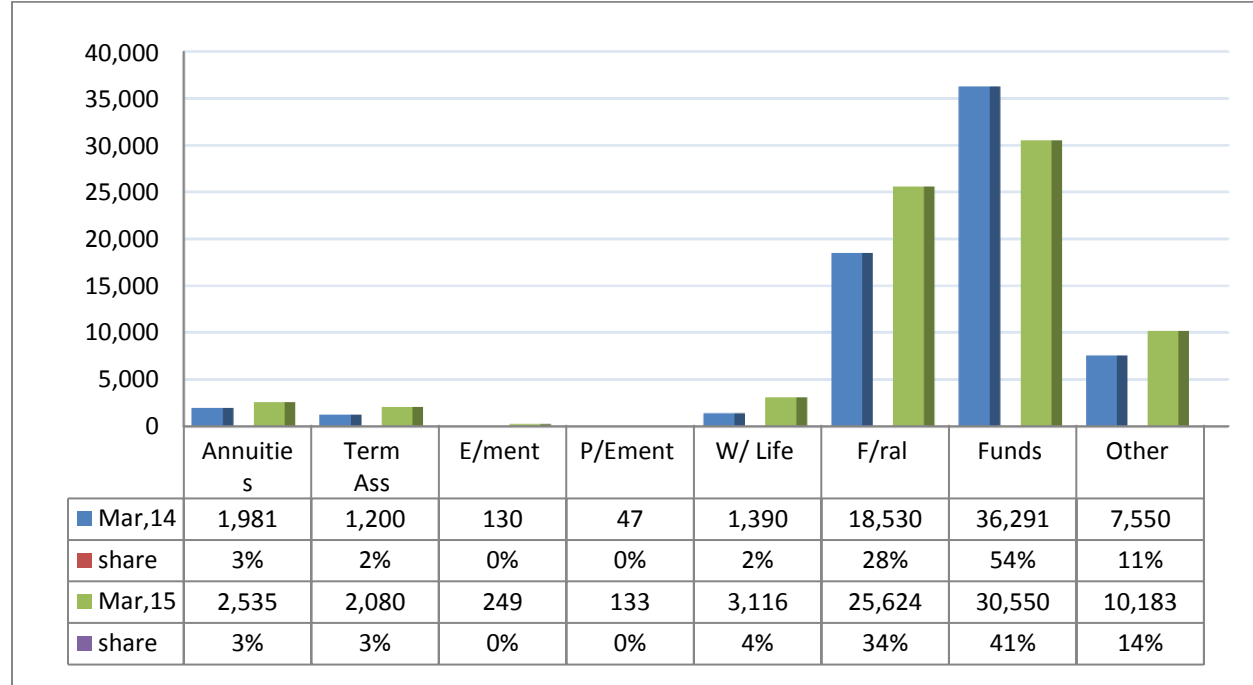


6.0 Business Composition by Class

Fund business contributed \$31million or 31% (March2014:\$36million or 54%), group life assurance policies-\$10million or 14% (March 2014:\$8million or 11%) and funeral business-\$26million or 34% (March2014:\$19million or 28%) of total gross premiums. The mentioned products constituted 89% of gross premium written. The current economic landscape is predominantly made up of the informal sector. Inevitably, the industry should reconfigure its products in sympathy with this reality (SeeTable4, below).

Co. Name	Annuities			Term Assurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			OTHER/GLA			Total		
	Mar-14	Mar-15	%	Mar-14	Mar-15	%	Mar-14	Mar-15	%	Mar-14	Mar-15	%	Mar-14	Mar-15	%	Mar-14	Mar-15	%	Mar-14	Mar-15	%	Mar-14	Mar-15	%	Mar-14	Mar-15	%
Altfin	0	259	0	0	110	0	0	0	0	0	0	0	0	19	0	0	0	0	0	0	0	850	159	-81	850	547	-36
CBZ Life	0	0	0	1,114	1,408	26	0	3	0	0	0	0	0	0	0	0	1,748	0	1,183	0	0	0	0	0	2,297	3,159	38
Econet	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	1,209	0	0	0	0	0	0	0	1,209	0	
Evolution	0	0	0	0	0	0	0	0	0	0	0	0	6	0	0	137	325	137	0	0	0	65	0	0	208	325	56
Fidelity	17	33	94	0	18	0	77	146	90	29	64	121	85	55	-35	623	634	2	1,937	1,128	-42	180	1,875	942	2,949	3,953	34
FML	1,125	1,109	-1	27	470	1641	44	56	27	0	0	0	133	203	53	2,320	2,181	-6	3,918	1,330	-66	422	2,224	427	7,988	7,577	-5
Heritage	2	3	50	0	0	0	2	2	0	0	28	0	0	0	0	221	270	22	0	100	0	130	0	0	355	403	-15
Nyarardzo	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	13,961	17,604	26	0	0	0	0	0	0	13,961	17,604	26
O. Mutual	765	1,059	38	0	0	0	0	0	0	0	0	0	1,079	1,464	36	739	1,087	47	25,546	25,536	0	4,510	4,660	3	32,639	33,806	4
Zb Life	1	25	2400	39	11	-72	7	42	500	18	41	128	8	1,259	15638	30	0	0	1,795	739	-59	0	0	0	1,898	2,285	20
Zimnat	71	47	-34	20	63	215	0	0	0	0	0	0	79	116	47	499	566	13	1,912	1,721	-10	1,393	1,265	-9%	3,974	3,602	-9
Total	1,981	2,535	28	1,200	2,080	73	130	249	92	47	133	183	1,390	3,116	124	18,530	25,624	38	36,291	30,554	-16	7,550	10,183	35%	67,119	74,474	11

Figure 3: Gross Written Premium by Product Class by Company for the quarter ended 31 March 2015



6.1 Not-taken Up and Lapsed Policies

The industry reported that the total policies that were not-taken up amounted to \$110 000. Lapse ratios ranged from zero to a maximum of 51% and mainly related to individual lines business. High lapse ratios are a sign of mis-selling practices which are punishable at law (see Table 5, below).

Table 5: Lapses and Not-Taken Up Policies by Company

	Not taken up policies (000)		Lapse Ratios (%)	
	Individual	Group Business	Individual	Group Business
	Mar 14	Mar 15	Mar 14	Mar 15
Altfin	0	0	4	0
CBZ Life	6	0	5	0
Econet	0	0	0	0
Evolution	0	0	26	0
Fidelity	0	0	0	0
FML	21	0	51	0
Heritage	0	36	0	0
Nyaradzo	0	0	10	7
O Mutual	2	0	2	0
Zb Life	41	0	12	0
Zimnat	0	4	0	0
TOTAL	70	40	-	-

7.0 Claims Analysis

For the current reporting period, life companies paid \$33million in net claims (March2014:\$28million).The Industry's total claims bill grew by 15% versus the net premium growth rate of 11% reflecting an unfavourable claims experience given depressed investment outlook. The major claim types were surrenders (31%), maturity (22%) and death (35%) (See Table 6, below and Table 2, above).

Table 6: Claims Categories by Company for the quarter ended 31 March 2015 (\$'000)

Co. Name	Death			Maturity			Disability			Surrenders			Annuities			Reinsurance			Total Net Claims		
	14-Mar	15-Mar	(%)	14-Mar	15-Mar	(%)	14-Mar	14-Mar	(%)	14-Mar	15-Mar	(%)	14-Mar	15-Mar	(%)	14-Mar	14-Mar	(%)	14-Mar	14-Mar	(%)
Altfin	16	48	200	23	33	43	0	178	0	87	26	-70	0	0	0	0	0	0	126	285	126
CBZ Life	383	350	-9	92	57	-38	0	0	0	314	160	-49	0	0	0	0	0	0	789	567	-28
Econet	0	67	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	67	0
Evolution	18	6	-67	14	15	7	0	0	0	0	0	0	0	0	0	0	0	0	32	21	-34
Fidelity	161	270	68	91	0	-100	0	0	0	54	323	498	34	34	0	10	14	40	330	627	90
FML	530	868	64	578	697	21	430	18	-96	545	556	2	300	419	40	65	0	0	2,318	2,540	10
Heritage	80	24	-70	0	0	0	0	0	0	0	32	0	0	4	0	0	0	0	80	60	-25
Nyaradzo	4,072	6743	66	0		0	0	0	0	23	0	0	0	0	0	0	0	0	4,095	6,743	65
O.Mutual	2,308	2,111	-9	6,503	5,704	-12	0	55	0	7,553	8,706	15	2,750	3,293	20	116	114	-2	18,998	19,755	4
Zb Life	360	324	-10	52	25	-52	0	0	0	398	379	-5	23	37	61	0	5	0	833	763	-8
Zimnat	482	664	38	339	718	112	0	0	0	13	18	38	0	0	0	13	22	69	821	1,378	68
Total	8,410	11,475	36	7,692	7,249	-6	430	251	-42	8,987	10,200	13	3,107	3,787	22	204	155	-14	28,422	32,807	15

7.1 Claims Aged Analysis

For the current reporting quarter, total outstanding claims were \$3million with \$1million or 52% older than 31days. The Commission will investigate such cases with a view to ensuring that all legitimate claims are paid timeously. All unjustified delays in claims settlement will attract severe penalties in terms of the law (See Table 7, below).

Table7: Claims Aged Analysis by Company for the quarter ended 31 March 2015 (\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	450	0	3	0	87	540
CBZ Life	142	6	0	5	0	153
Econet	0	0	0	0	0	0
Evolution	0	0	0	0	0	0
Fidelity	279	3	0	0	0	282
FML	328	29	6	234	586	1,183
Heritage	0	0	0	0	0	0
Nyaradzo	0	0	0	0	0	0
O. Mutual	0	0	0	0	0	0
Zb Life	17	37	34	20	259	367
Zimnat	0	0	0	0	0	0
Total	1,216	75	43	259	932	2,525

8.0 Debtors Aged Analysis

The life assurance companies recorded a debtors book worth \$8million. Given the gross premium figure for the quarter of \$67 million this implies that the average premium collection rate was 88%. This is considered reasonable in light of the liquidity challenges prevailing in the economy (see Table 8, below).

Table 8: Debtors Aged Analysis by Company for the quarter ended 31 March 2015 (\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	12	14	17	25	1,836	1,904
CBZ Life	178	336	0	0	0	514
Econet	0	0	0	0	0	0
Evolution	76	65	61	59	600	861
Fidelity	616	383	298	0	1,936	3,233
FML	806	801	109	0	180	1,896
Heritage	0	0	0	0	0	0
Nyaradzo	2	0	2	0	0	4
O. Mutual	26	0	30	0	18	74
Zb Life	0	0	0	0	0	0
Zimnat	0	0	0	0	0	0
Total	1,716	1,599	517	84	4,570	8,486



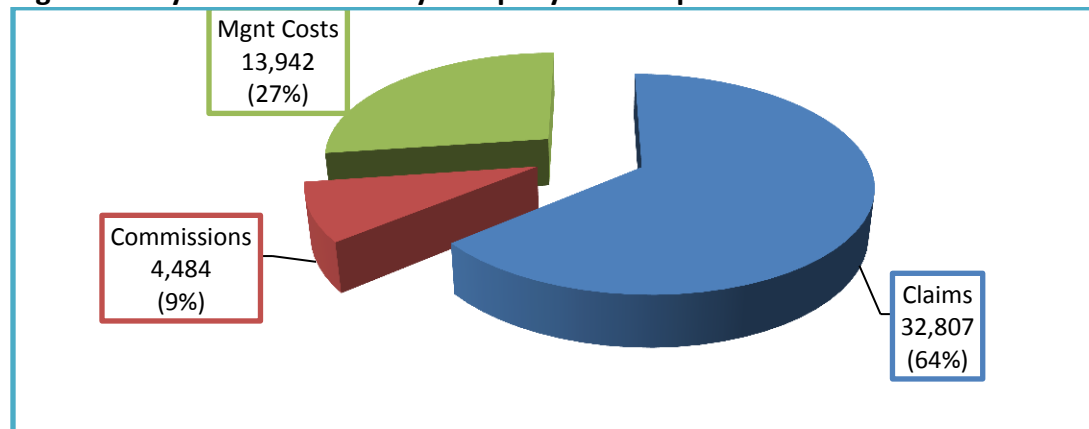
9.0 Earnings

For the current review period, management costs accounted for 27 % or \$14 million of total costs (March 2014: 29% or \$13 million), claims-64% or \$33 million (March 2013: 64% or \$28 million) whilst the commission bill was 9% or \$4 million (March 2014: 7% or \$3 million). This culminated in a 70% combined ratio (March 2014: 67%). To promote sustenance of the industry, the Commission continues to encourage prudent cost management measures (See Table 9 and figure 4, below).

Table 9: Key Income and Cost Indicators By Company for the quarter ended 31 March 2015(\$000)

Co.	NPW(\$000)		Claims(\$000)			Commissions(\$000)			Management Expenses(\$000)			Total Costs(\$000)			Combined Ratio		
Name	Mar 14	Mar 15	Mar 14	Mar 15	Growth	Mar 14	Mar 15	Growth	Mar 14	Mar 15	Growth	Mar 14	Mar 15	Growth	Mar 14	Mar 15	%
Altfin	754	488	126	285	126%	76	295	288%	409	41	-90%	611	621	2%	81%	127%	46%
CBZ Life	2,253	3,077	789	567	-28%	398	820	106%	639	394	-38%	1,826	1,781	-2%	81%	58%	(23%)
Econet	0	1,114	0	67	0	0	0	0	0	445	0	0	512	0	0	46%	0
Evolution	207	325	32	21	-34%	5	245	4800%	182	49	-73%	219	315	44%	106%	97%	(9%)
Fidelity	2,850	3,829	330	627	90%	57	49	-14%	1,388	1,322	-5%	1,775	1,998	13%	62%	52%	(10%)
FML	7,923	7,489	2,318	2,540	10%	418	436	4%	3,231	3,536	9%	5,967	6,512	9%	75%	87%	12%
Heritage	336	394	80	60	-25%	62	62	0%	164	269	64%	306	391	28%	91%	99%	8%
Nyaradzo	13,960	17,602	4,095	6,743	65%	1,118	1,412	26%	2,093	2,640	26%	7,306	10,795	48%	52%	61%	(9%)
O Mutual	32,373	33,180	18,998	19,755	4%	413	546	32%	3,502	3,735	7%	22,913	24,036	5%	71%	72%	1%
Zb Life	1,829	2,190	833	763	-8%	279	333	19%	426	662	55%	1,538	1,758	14%	84%	80%	(4%)
Zimnat	3,381	3,428	821	1,379	68%	247	286	16%	758	849	12%	1,826	2,514	38%	54%	73%	19%
Total	65,866	73,116	28,422	32,807	15%	3,073	4,484	46%	12,792	13,942	9%	44,287	51,233	16%	67%	70%	3%

Figure 4: Key Cost Indicators By Company for the quarter ended 31 March 2015



10. Asset Quality

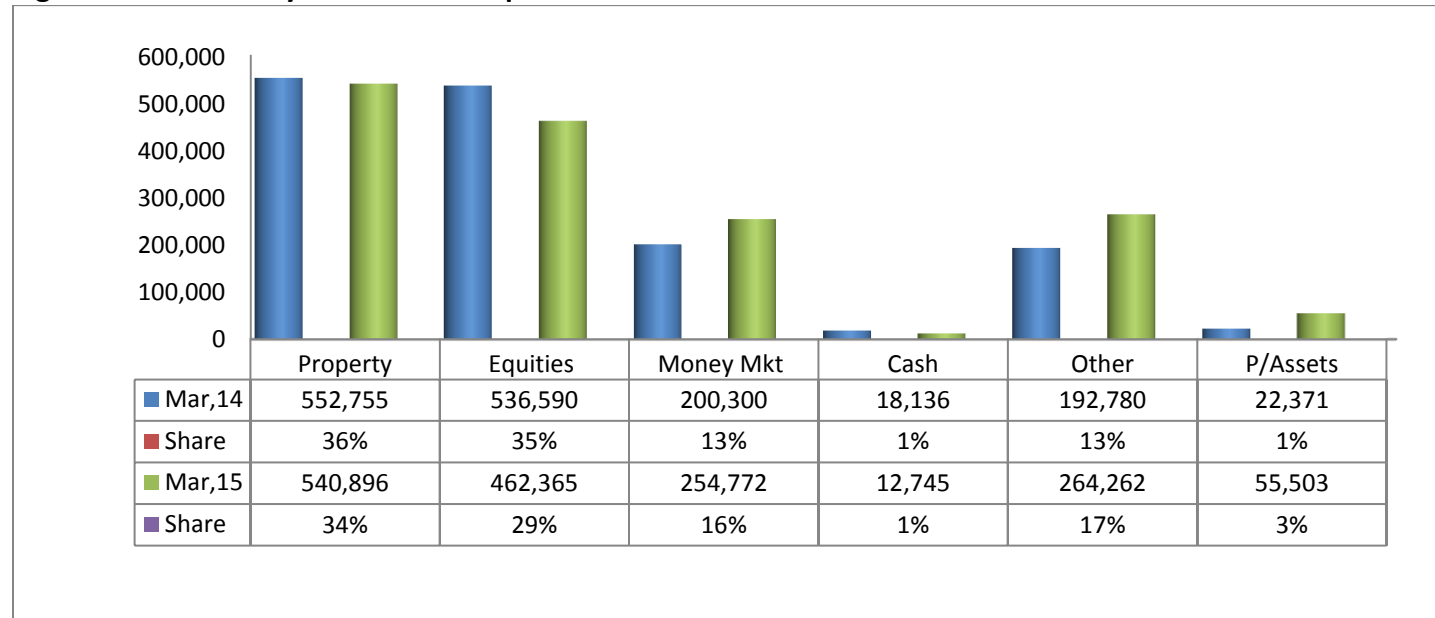
As at the close of the reporting period ,the industry reported investments thus : real estate-34% or \$541 million (March2014:36 % or \$553 million) ,equities-\$462 million or 29 %(March 2014:35 % or \$537 million),money market-\$255 million or 16% (March 2014:13% or \$200 million), cash assets-\$13 million or 1% (March 2014:1% or \$18 million) , other assets -\$264 million or 17% (March2014: 13% or \$193 million) and \$56 million or 1% on prescribed assets. The industry must take solid steps to comply with our investment guidelines effective 2016 as well as actuarial recommendations (See Table 10 and Figure 5, below).

Table 10: Life industry Assets for the year for the quarter ended 31 March 2015(\$000)

Co. Name	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Mar 14	Mar 15	%	Mar 14	Mar 15	%	Mar 14	Mar 15	%	Mar 14	Mar 15	%	Mar 14	Mar 15	%	Mar 14	Mar 15	%	Mar 14	Mar 15	%
Altfin	1,500	2,606	74	0	2,290	0	137	2,228	1526	120	83	-31	1,208	1,104	-9	0	704	0	2,965	9,015	204
CBZ Life	292	296	1	0	0	0	7,225	9,680	34	290	448	54	547	1,191	118	620	1,211	95	8,974	12,826	43
Econet	0	429	0	0	0	0	0	3,293	0	0	0	0	0	0	0	0	0	0	0	3,722	0
Evolution	32	1,461	4466	0	0	0	224	185	-17	30	0	-100	2,611	1,598	-39	30	100	233	2,927	3,344	14
Fidelity	26,432	23,833	-10	5,308	5,867	11	5,887	10,920	85	759	505	-33	9,238	24,703	167	0	13,523	0	47,624	79,351	67
FML	14,353	13,747	-4	24,939	17,793	-29	5,502	9,545	73	1,787	2,217	24	137,490	141,504	3	3,364	5,722	70	187,435	190,528	2
Heritage	724	796	10	0	1,282	0	1,662	7	-100	54	23	-57	422	642	52	0	0	0	2,862	2,750	-4
Nyaradzo	20,807	31,065	49	146	156	7	4,781	8,770	83	3,484	2,729	-22	11,260	13,471	20	283	3,502	1137	40,761	59,693	46
O. Mutual	467,842	446,432	-5	473,283	415,477	-12	158,989	189,712	19	10,598	6,136	-42	24,565	43,646	78	17,506	27,155	55	1,152,783	1,128,558	-2
Zb Life	3,433	3,381	-2	20,453	6,900	-66	2,261	2,873	27	143	181	27	1,760	33,076	1779	331	1,178	256	28,381	47,589	68
Zimnat	17,340	16,850	-3	12,461	12,600	1	13,632	17,559	29	871	423	-51	3,679	3,327	-10	237	2,408	916	48,220	53,167	10
Total	552,755	540,896	-2	536,590	462,365	-14	200,300	254,772	27	18,136	12,745	-30	192,780	264,262	37	22,371	55,503	148	1,522,932	1,590,543	4



Figure 5: Life industry Assets for the quarter ended 31 March 2015



11. Capitalization, Solvency and Liquidity Indicators

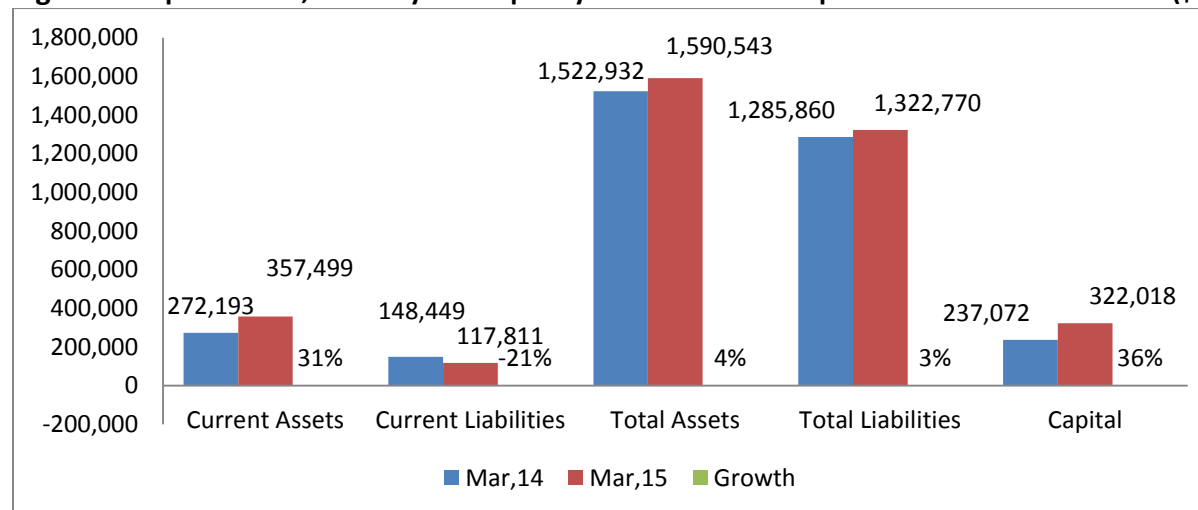
Except for Altfin Life Assurance, the life industry was adequately capitalized in excess of\$ 2 ,000 ,000 as prescribed by Statutory Instrument 21 of 2013.Theindustry reported capital to liability and liquid ratios of 18% and 183% respectively (SeeTable11 and Figure 6,below).

Table 11: Capitalization, Solvency and Liquidity Indicators for the quarter ended 31 March 2015(\$'000)

Co. Name	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital/liability Ratio (%)			Current Ratio (%)		
	Mar-14	Mar-15	%	Mar-14	Mar-15	%	Mar-14	Mar-15	Mar-14	Mar-15	%	Mar-14	Mar-15	%	Mar-14	Mar-15	%	Mar-14	Mar-15	%
Altfin	1,227	3,930	220%	1,949	7,827	302%	2,965	9,015	2,603	8,831	239%	362	183	-49%	14	2%	-12	63	199%	136
CBZ Life	8,467	12,075	43%	2,121	2,079	-2%	8,974	12,826	2,670	3,066	15%	6,304	9,761	55%	236	318%	82	399	17%	382
Econet	0	3,293	0	0	1,571	0	0	3,722	0	1,571	0	0	2,151	0	0	137%	0	0	48%	0
Evolution	961	1,492	55%	460	946	106%	2,927	3,344	460	946	106%	2,468	2,397	-3%	537	253%	-284	209	63%	-146
Fidelity	15,884	48,868	208%	8,395	14,491	73%	47,624	79,351	37,009	60,098	62%	10,615	19,288	82%	29	32%	3	189	30%	159
FML	13,702	19,882	45%	27,748	19,934	-28%	187,435	190,528	117,057	120,761	3%	70,378	69,766	-1%	60	58%	-2	49	100%	51
Heritage	1,982	473	-76%	310	374	21%	2,862	2,750	484	551	14%	2,378	2,199	-8%	491	399%	-92	639	79%	-560
Nyaradzo	19,680	27,683	41%	38,109	5,360	-86%	40,761	59,693	38,181	54,603	43%	2,579	5,090	97%	6	109%	103	52	19%	33
O. Mutual	191,864	222,714	16%	65,444	61,062	-7%	1,152,783	1,128,558	1,027,506	1,002,936	-2%	125,277	125,622	0%	12	13%	1	293	27%	-266
Zb Life	3,217	3,597	12%	1,715	1,730	1%	28,381	47,589	25,164	31,119	24%	3,217	16,469	412%	13	53%	40	188	48%	-140
Zimnat	15,209	13,492	-11%	2,198	2,437	11%	48,220	53,167	34,726	38,288	10%	13,494	14,489	7%	39	38%	-1	692	18%	-674
Total	272,193	357,499	31%	148,449	117,811	-21%	1,522,932	1,590,543	1,285,860	1,322,770	3%	237,072	267,415	13%	18	20%	2	183	33%	-150



Figure 6: Capitalization, Solvency and Liquidity Indicators for the quarter ended 31 March 2015(\$'000)



12. Reinsurance

The Commission continues to encourage players to reinsure risk business as part of their wider risk management strategies.

Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

This report is based on 2 life reinsurers.

2.0 Business Written

Table 1 below shows that reinsurers wrote \$1.9million in net premiums, a 2% growth from the comparative quarter last year (March 2014:\$1,8million).

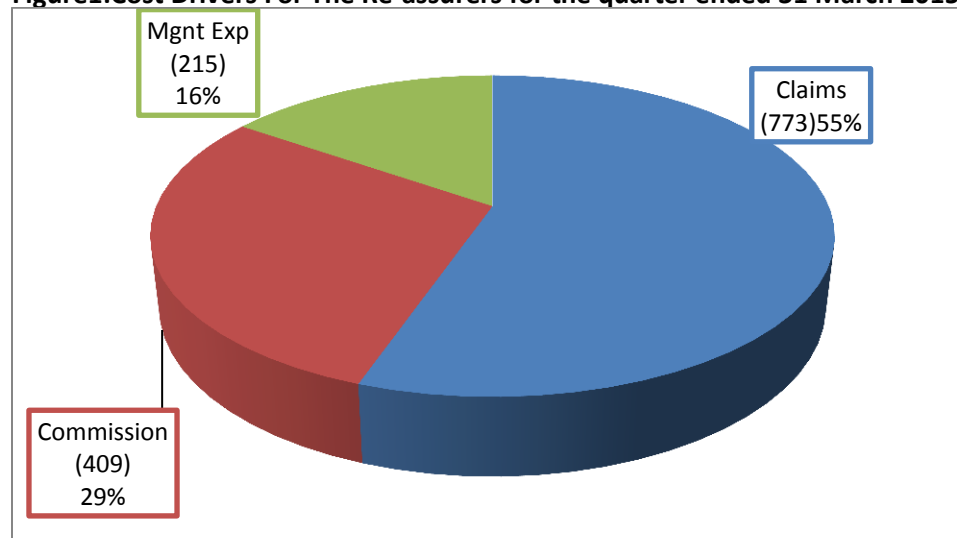
Table 1: Key Performance Indicators for the quarter ended 31 March 2015(\$000)

Item	Baobab Re			FM Re			Total		
	Mar 14	Mar15	%	Mar 14	Mar 15	%	Mar 14	Mar 15	%
Gross Premium Written	1,340	1,293	(7%)	814	845	4%	2,154	2,138	(1%)
Net Premium Written	1,108	1,191	7%	711	672	(5%)	1,819	1,863	2%
Net Claims Incurred	481	213	(56)	369	560	52%	850	773	(9%)
Net Commission Incurred	212	246	16%	158	163	3%	370	409	11%
Management Expenses	176	193	10%	135	214	59%	311	215	(31%)
Total Costs	869	652	(25%)	662	937	42%	1,531	1,589	4%
Underwriting Profit	239	539	126%	49	(265)	(531%)	288	274	(5%)
Combined Ratio	78%	55%	(23%)	93%	111	18%	84%	85%	1%

3.0 Earnings

Expenditure grew by 4% from \$1.5million to \$1.6million whilst net premium inflows grew by 2% to \$1.9 million. Resultantly the underwriting profit was \$274 000 and a combined ratio of 85%. The cost distribution was made up of Claims-\$773 000 or 55% (March 2014:56% or \$850 000), Commission -\$409 000 or 29% (March 2014:24% or \$37 000) and management expenses-\$215 or 16% (March 2014:20% or \$311 000)(See Table 1 and Figure 1 below)

Figure1:Cost Drivers For The Re-assurers for the quarter ended 31 March 2015



4.0 Capitalization and Solvency Indicators

For the period under review, FML Life and Health was undercapitalised. However processes are under way to merge it with FMRE Property and Casualty.

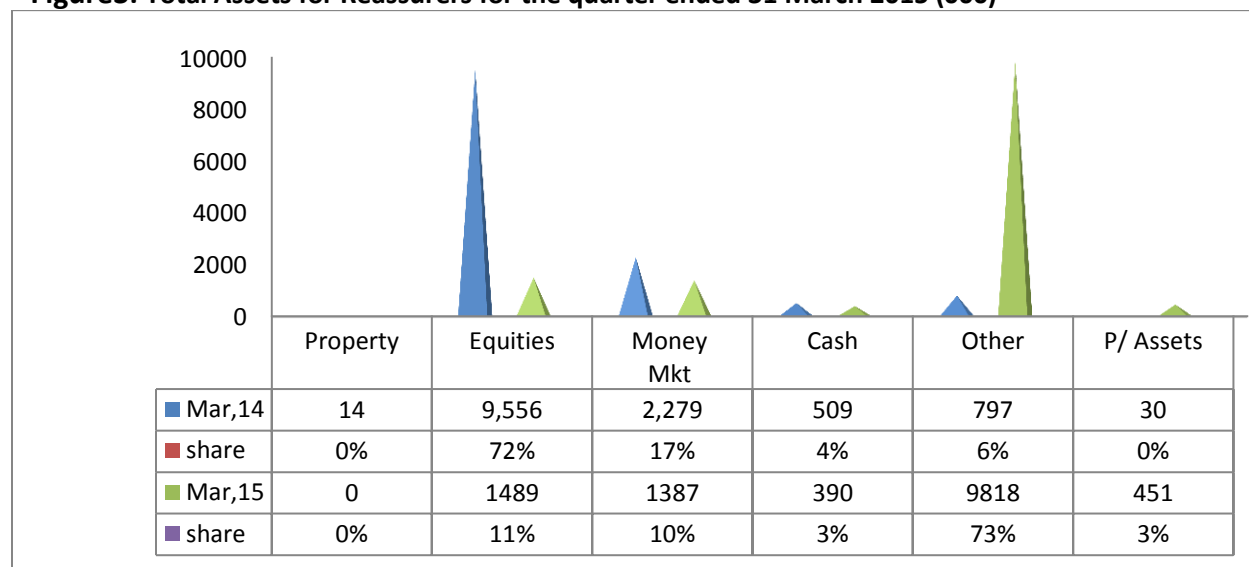
Reinsurers reported a current ratio of 275 % and a capital to liability ratio of 103% reflecting relatively solid capacity to meet their entire obligations on demand (SeeTable2, below).

Table 3: Total Assets for Re-assurers for the quarter ended 31 March 2015 (\$000)

Asset Type	Baobab Re			FM Re			Total		
	Mar 15	Mar 15	%	Mar 14	Mar 15	%	Mar 14	Mar 15	%
Fixed Property (000)	0	0	0	14	0	-100%	14	0	-100%
Equities (000)	9,042	849	-91%	514	640	25%	9,556	1,489	-84%
Money Market (000)	722	753	4%	1,557	634	-59%	2,279	1,387	-39%
Cash (000)	484	108	-78%	25	282	1028%	509	390	-23%
Other Investments (000)	655	9,459	1344%	142	359	153%	797	9,818	1132%
Prescribed Assets	30	300	900%	0	151	0	30	451	1403%
Total Assets (000)	10,933	11,469	5%	2,252	2,066	-8%	13,185	13,535	3%

Baobab Re had 85% of the total assets for the quarter ending 31 March 2015. As shown below prescribed paper uptake is still low with the market average of 3%.

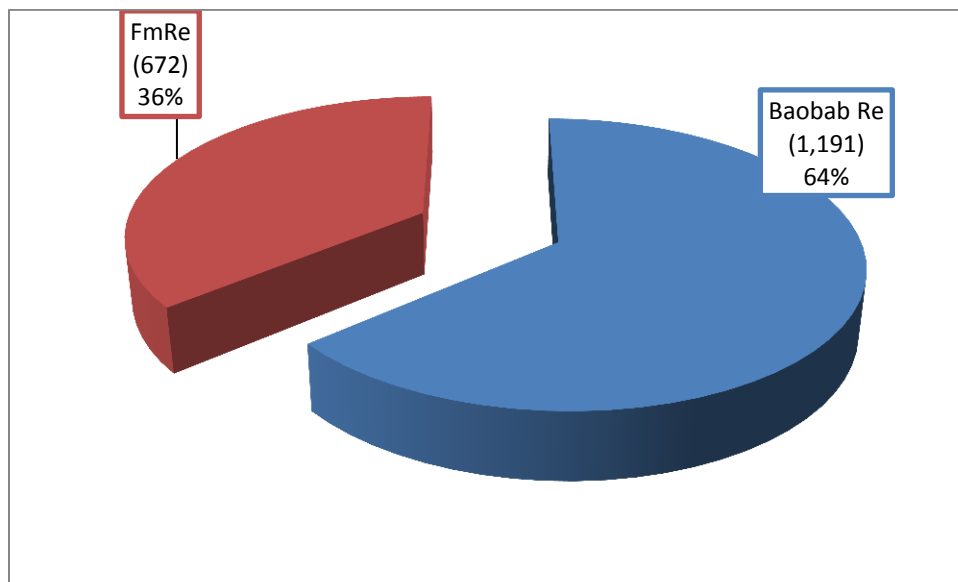
Figure3: Total Assets for Reassurers for the quarter ended 31 March 2015 (000)



6.0 Market Share in net written Premium

As shown in Figure 3 below, Baobab Life controlled 64% or \$1.19million of the business whilst FMRe Life and Health realised the balance of the net premium written. (SeeFigure3,below).

Figure 4: Market share for the quarter ended 31 March 2015 (NPW 000)



7.0 Prescribed Assets

The industry's subscription rate was 3% out of a 7.5% minimum requirement. The industry must continue to buy prescribed paper mindful of the 31 December 2015 deadline.

8.0 Acts, Statutory Instruments and Circulars

For the quarter under review the circulated following Acts, circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 4: Issued Acts, Circulars and Statutory Instruments for the quarter ended 31 March 2015

Circular 1 of 2015	Clarification of the implementation of circular 2 of 2013, 1 of 2014 and circular 8 of 2014	
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Table 5: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
CABS	Budiriro Housing Project	To fund the servicing and construction of low cost houses in Budiriro	10 Years	10% p.a	March 2015